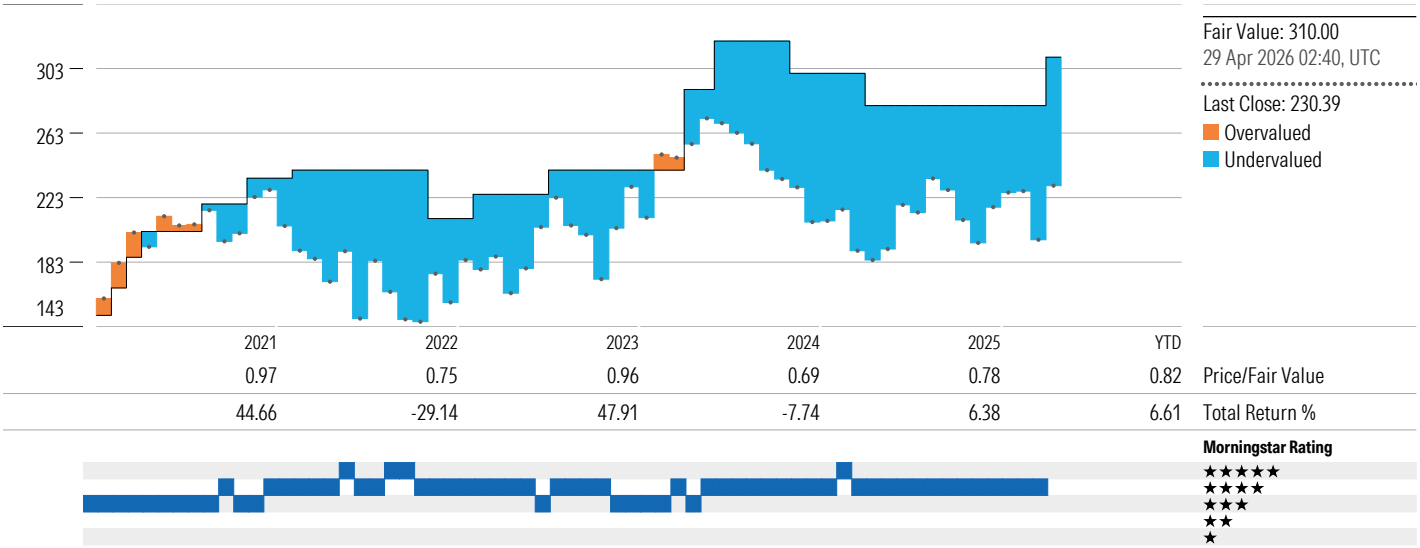
NXP Semiconductors NV NXPI ★★★ 29 Apr 2026 21:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
230.39 USD 28 Apr 2026	310.00 USD 29 Apr 2026 02:40, UTC	0.74	73.05 USD Bil 29 Apr 2026	Wide	Large Blend	High	Standard	22 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.97	0.75	0.96	0.69	0.78	0.82	Price/Fair Value
	44.66	-29.14	47.91	-7.74	6.38	6.61	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 29 Apr 2026 02:40, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

NXP Earnings: Chip Demand Is Roaring Back With an AI Kicker; Fair Value Up to $310 From $280

Analyst Note Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

NXP Semiconductors reported first-quarter revenue of $3.18 billion, up 12% year over year and above the midpoint of guidance. NXP expects revenue in the June quarter to be $3.45 billion, up 18% year over year and well above FactSet consensus estimates of $3.27 billion.

Why it matters: NXP was one of our best investment ideas in semis going into the quarter, and the firm's results and outlook exceeded our optimistic expectations. NXP is benefiting from gains in chip content in automotive, a cyclical recovery in industrial, and a growing data center business.

- Automotive chip revenue was $1.78 billion, up 6% year over year (and up 10% after adjusting for a product line spinoff), which was NXP's highest growth in 11 quarters. The firm cited strong adoption of software-defined vehicle platforms, and we like NXP's exposure here.
- NXP disclosed its data center exposure for the first time: $200 million in 2025, expected to be above $500 million in 2026. Data center products include embedded processors and chips used in cooling solutions, rather than GPUs, CPUs, memory, or optical parts, which are all the rage in artificial intelligence.

The bottom line: We raise our fair value estimate for wide-moat NXP to $310 from $280. Shares rose as much as 16% after hours on the excellent earnings report, but we still view shares as modestly undervalued.

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Sector
Technology

Industry
Semiconductors

Business Description

NXP Semiconductors is a leading supplier of high-performance mixed-signal products. The firm acquired Freescale Semiconductor in 2015 and now has significant market share in the automotive market, where it supplies microcontrollers and analog chips into automotive clusters, powertrains, infotainment systems, and radars. NXP Semiconductors also serves industrial and Internet of Things, mobile, and communications infrastructure.

- NXP reaffirmed its 2027 financial targets of 8% three-year average revenue growth from 2024 to 2027, and 60% adjusted gross margin (both at the midpoints). We're highly encouraged by this affirmation, given the brutal start to the three-year period, which was due to a cyclical downturn.
- This reaffirmation implies 10%-plus revenue growth in both 2026 and 2027. We anticipate this growth will come from new product lines in core end markets like auto and industrial, with growing data center revenue (which should be margin-accretive) as an added boost.

Business Strategy & Outlook Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

NXP Semiconductors is one of the largest suppliers of semiconductors for the automotive market and a significant player in the analog and mixed-signal chip markets generally. We believe the company has a strong position in the automotive, industrial, and mobile end markets through a combination of high customer switching costs and intangible assets. Although the company sells into cyclical industries, the strength of these competitive advantages gives us confidence that it will generate excess returns over the cost of capital over the next decade and beyond.

The merger of Freescale and the former NXP in 2015 led to a powerhouse in automotive semiconductors, which makes up more than half of the company's total revenue. Like many of its chipmaking peers, NXP is well-positioned to benefit from safer, greener, smarter cars in the years ahead. It is among the market leaders in automotive semis, especially in microcontroller units, which serve as the brains of a variety of electronic functions in a car. We're optimistic about NXP's development of products used in active safety systems, such as 77-gigahertz radar modules and battery management systems in upcoming electric vehicles.

Yet NXP's prospects are also bright in its industrial and Internet of Things segment, thanks to its legacy strength in MCUs and embedded processors, along with its development of newer crossover MCUs that combine some of the benefits of each. Finally, NXP's mobile wallet solutions should remain the industry's gold standard and the backbone of mobile payment technologies offered by Apple, Google, and others.

Bulls Say Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

- NXP is an automotive chip leader, with reliable products and strong customer relationships. This should give it an edge in newer technologies, such as 77 GHz radar and battery management systems.
- NXP should generate healthy margin expansion as it grows across a variety of end markets and has exited some commoditylike businesses.
- NXP is the clear leader in mobile wallet solutions, which incorporate NFC and secure element chipsets along with its software. As mobile payment adoption expands worldwide, NXP is poised to benefit.

Bears Say Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

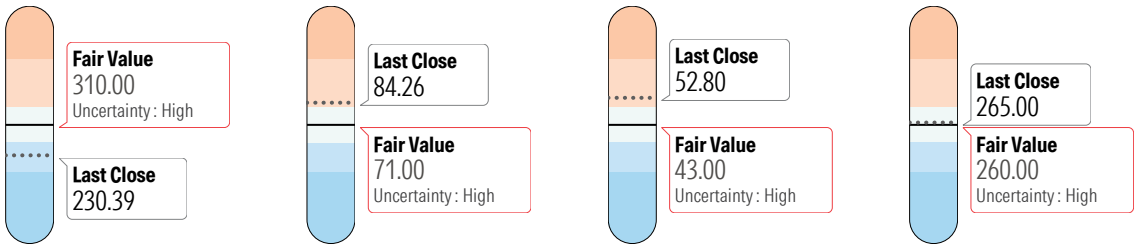
- NXP's dependence on the automotive market makes it vulnerable to cyclical downturns, which occur in

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Competitors



	NXP Semiconductors NV NXPI	Microchip Technology Inc MCHP	Infineon Technologies AG IFX	Texas Instruments Inc TXN
Economic Moat	Wide	Wide	Narrow	Wide
Currency	USD	USD	EUR	USD
Fair Value	310.00 29 Apr 2026 02:40, UTC	71.00 6 Feb 2026 03:04, UTC	43.00 12 Nov 2024 20:48, UTC	260.00 23 Apr 2026 02:00, UTC
1-Star Price	480.50	110.05	66.65	403.00
5-Star Price	186.00	42.60	25.80	156.00
Assessment	Undervalued 29 Apr 2026	Overvalued 28 Apr 2026	Overvalued 28 Apr 2026	Fairly Valued 28 Apr 2026
Morningstar Rating	★★★29 Apr 2026 21:19, UTC	★★29 Apr 2026 00:04, UTC	★★29 Apr 2026 01:05, UTC	★★★29 Apr 2026 00:11, UTC
Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard	Exemplary
Price/Fair Value	0.74	1.19	1.23	1.02
Price/Sales	4.64	10.40	4.64	13.11
Price/Book	5.33	6.95	4.08	14.37
Price/Earning	21.97	—	37.45	44.33
Dividend Yield	1.76%	2.16%	0.66%	2.10%
Market Cap	73.03 Bil	48.82 Bil	72.53 Bil	245.09 Bil
52-Week Range	176.26—292.85	44.17—92.24	28.23—56.34	152.73—287.83
Investment Style	Large Blend	Mid Growth	Large Growth	Large Blend

global light-vehicle sales from time to time.

- China is an important growth market for NXP but counts several national champions as large customers, thus exposing NXP to geopolitical risk and greater competition over time.
- Tariffs and geopolitical risks may limit car unit sales, in turn limiting NXP's automotive growth even if it gains more chip content per car.

Economic Moat Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

We believe NXP Semiconductors warrants a wide economic moat rating, consistent with several other broad-based analog and mixed-signal semiconductor peers. We believe that moats for NXP (and its peers in broad-based semis) come from intangible assets around proprietary analog and mixed signal (that is, analog and digital) chip design and manufacturing expertise, as well as switching costs that make it difficult to swap out analog and mixed-signal chips for competing offerings once they are

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designed into a given electronic device.

NXP, based in the Netherlands, is one of the largest chipmakers in Europe and a key chip supplier to the automotive end market. The firm has a diversified product portfolio, including analog chips (used to process real-world signals), microcontrollers (used for simple processing in a massive range of end uses), processors (used for more advanced processing in embedded applications, and sensors (used to detect objects, tire pressure, rotation, and so on). Further, NXP is a clear market leader in near-field communications short-range wireless chips, software, and security. NFC is at the center of leading mobile payment platforms like Apple Pay, Google Pay, and Samsung Pay.

We believe that leading broad-based chipmakers (which we consider to be those well-versed in analog, mixed signal, and microcontroller [MCU] semis) benefit from favorable characteristics that lend themselves to economic moats. First, we believe that engineering talent (especially in analog) is difficult to come by, as greater emphasis is placed on digital chip improvements, and it often takes years to train up-and-coming analog engineers in the intricacies of chip designs. Thus, it is extremely difficult for startups to replicate the many years of analog expertise held by incumbents.

Leading broad-based chipmakers also face stringent quality requirements in some end markets, such as the automotive industry, for example, where defects can only be tolerated as low as one part per million. Although the broad-based chip market is quite fragmented, it would be difficult for any startup to achieve this level of quality while still being to satisfy high volume production. Furthermore, broad-based semis like analog and MCU parts tend to make up only a small portion of a product's bill of materials, so purchasing decisions tend to be based on performance rather than price, helping firms retain pricing power. Automotive, industrial, and communications infrastructure customers are unlikely to choose an inferior analog chip or MCU to save pennies on the cost of a piece of equipment worth tens of thousands of dollars. A lower quality tolerance might be acceptable in devices with shorter useful lives, such as smartphones, PCs, and consumer gadgets, but moaty chipmakers tend to have limited exposure to these end markets.

Regarding customer switching costs, we believe that engineers loathe to swap out an analog or MCU from an existing design (again, only to save a few pennies on cost) because of the onerous re-design and re-testing costs associated with the switch. Further, customers also become accustomed to the software and development tools used to test and design a given product. Switching to a competing MCU, for example, may involve a bit of a learning curve in the design process.

In our view, Exhibit A for our switching cost thesis could be observed during the global chip shortage of 2021 and 2022. Instead of finding untested suppliers or securing any reasonably performing chip they could get their hands on, automotive and industrial companies halted production of their gadgets until their key chip suppliers could get the proper, reliable, well- tested, well-designed parts into their

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customers' hands. We did not see any meaningful market share loss during the shortage, as customers again waited to receive the necessary chip, rather than redesign their products to take on a lower-quality chip instead.

In addition to these favorable moat sources, broad-based chips are trailing edge products that don't require the hefty investments needed by digital processors, such as CPUs or GPUs, to move down Moore's Law. In turn, broad-based chipmakers profit by having lower ongoing R&D and capital expenditure investments, which helps to contribute to healthy returns on capital for shareholders. Further, buyers of analog semis typically don't demand smaller chips packed with more transistors, but rather, reliable products that deliver the desired accuracy and precision in power management or signal processing. Shrinking the chip might not necessarily enhance accuracy (and might even serve to reduce it), so analog chips tend to be made with lagging edge manufacturing techniques.

Many broad-based chipmakers take this benefit one step further by concentrating on end markets where product lives are measured in decades, as opposed to the increasingly short life cycles associated with consumer devices like PCs or handsets.

For NXP specifically, we believe its automotive and industrial chip businesses, which make up most of its revenue, are wide-moat segments, thanks to the aforementioned intangible assets and switching costs. NXP's consumer Internet of Things business is perhaps less moaty as design cycles might be quicker. The firm is a clear leader in Near Field Communications in the mobile space, but given the faster technological cycles within smartphones, it's possible that NXP might benefit from switching costs a little bit less in this business. Nonetheless, we don't fear that these risks would weigh down NXP's ability, overall, to generate excess returns on capital over the next decade or beyond.

Fair Value and Profit Drivers Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

Our fair value estimate is $310 per share, which implies a 2026 and 2027 adjusted price/earnings ratio of 20 times and 15.5 times, respectively, and a 6% free cash flow yield.

NXP prospered from peak business conditions during the global semiconductor shortage, with revenue growth of 28.5% in 2021 and 19% in 2022. Semis are inherently cyclical, and NXP faced cyclical headwinds thereafter, causing revenue to grow only 0.5% in 2023 while falling 5% in 2024 and another 3% in 2025. However, we believe these cyclical headwinds have abated, and NXP will ship in line with a cyclical upturn. We model 15% revenue growth in 2026 and 11.5% growth in 2027 for NXP. NXP should see a rebound in industrial chip demand, ongoing content gains within the automotive sector (NXP's largest end market in the 55%-60% range), and new design wins as part of the massive AI data center infrastructure buildout. We model 8% midcycle growth thereafter, a couple of percentage points above our prior estimates, thanks to faster data center product growth. Beyond data center, we anticipate that NXP will continue to thrive by selling higher chip content in cars and industrial devices.

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At its November 2024 Analyst Day, NXP outlined a revenue growth target of 6%-10% through 2027. However, the targets didn't forecast the sharp cyclical downturn faced by the semis industry in 2025, nor the rise in tariffs and greater macroeconomic uncertainty that we've seen in the past two years. Despite the 3% revenue decline in 2025, NXP reiterated that it can still reach this 6%-10% CAGR by achieving double-digit revenue growth in both 2026 and 2027.

By end market, NXP targeted 8%-12% automotive revenue growth through 2027. While we think this was a reasonable target pre-tariffs and pre-downturn, we now model only a 7% CAGR through 2027. NXP's target in industrial and Internet of Things revenue was also 8%-12%, but we think NXP will exceed this target with a 13% CAGR. Half of NXP's data center revenue falls into this IIoT segment.

NXP earned a strong adjusted gross margin of 58% in both 2022 and 2023, and we were impressed that NXP maintained this 58% margin in 2024 despite flattish revenue. Lower revenue caused adjusted gross margin to fall to 57% in 2025, but we model a recovery to 58.5% in 2026 and nearly 61% in 2027, above the midpoint of management's target of 57%-63% from its Analyst Day. We concede that higher revenue above our projections would likely boost margins toward the high end of this range. Management indicated that it can generate a 58% adjusted gross margin at an annual run rate of $13 billion of revenue, with 100 basis points of expansion for every $1 billion of incremental revenue thereafter.

Similarly, adjusted operating margin reached a high of 36% in 2022, came in at 35% in both 2023 and 2024, and fell modestly to 33% in 2025. We anticipate a recovery to 39% by 2027, toward the high end of management's pretariff target of 34%-40%.

Risk and Uncertainty Brian Colello, CPA, Senior Equity Analyst, 3 Feb 2026

Our Morningstar Uncertainty Rating for NXP is High. NXP's fortunes will likely remain tied to its key end markets, and some of these markets are notoriously cyclical. Automotive makes up about 50% of revenue, and while a good portion of NXP's automotive growth will be tied to rising chip content per car, it would be difficult for NXP to grow if the global car market faced a severe downturn in light-vehicle sales. Industrial and IoT chip sales are also often tied to the health of macroeconomies, for better or worse. Finally, in mobile, NXP's prospects are also tied, in part, to premium smartphone unit sales across the world.

Tariffs and geopolitical uncertainty has emerged as a headwind for NXP and its peers. China's development of a chip ecosystem may start to eat away at NXP's business at the low end of the market, and there is risk that Chinese upstarts may move up-market in microcontrollers and other parts thereafter.

On the environmental, social, and governance front, we do not foresee any material issues on the horizon. Perhaps the greatest risk is the scarcity of experienced analog and mixed-signal engineering

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talent, but NXP's inorganic expansion has enabled it to acquire talent and reduce this risk. The company also has a proven record of innovation and developing engineers internally, in our view.

Capital Allocation Brian Colello, CPA, Senior Equity Analyst, 29 Apr 2026

We assign NXP a Standard Capital Allocation Rating. This reflects our assessments of a sound balance sheet, fair investments associated with the firm's strategy and execution, and appropriate shareholder distribution policies.

NXP's balance sheet has a decent amount of debt at 1.9 times net debt/EBITDA as of December 2025. However, we are confident that the company will be able to satisfy its obligations over time as it generates healthy free cash flow.

On the shareholder distribution front, the firm intends to pay out all excess cash to shareholders while maintaining leverage of 2.0 times debt/EBITDA. Within this target, NXP plans to steadily increase its dividend while paying out about 25% of cash flow from operations to shareholders. The rest of NXP's capital distributions should be done via stock buybacks.

On the investment front, NXP's strategic vision appears to us to focus on a strong mix of existing competencies and growth opportunities that favor moat development. For example, the firm is the leading supplier of semiconductors to the automotive market, and we believe focusing investment on the content growth in this market is sensible. We have no reason to expect materially value-adding or -destructive investments.

NXP underwent a CEO transition in October 2025, as Rafael Sotomayor replaced the retiring Kurt Sievers, who held the role since 2020.

NXP's purchase of Freescale in 2015 created one of the largest semiconductor companies in the world. This was followed by the spinoff of legacy NXP's RF power division in late 2015 into Ampleon (the combined firm retained Freescale's RF product lines instead). The firm further refined its portfolio through the sale of its Standard Products division in 2017. The divestiture of the unit, consequently known as Nexperia, excised the more commoditylike discrete products from the firm's product catalog, focusing the firm on higher-margin, higher-complexity products. In 2018, the firm purchased OmniPHY to improve its automotive Ethernet solutions. In 2019, we think NXP made a smart move in acquiring Marvell's Wi-Fi and Bluetooth connectivity assets. More recently, NXP has made smaller acquisitions in software-defined vehicles for TTTech Auto, automotive connectivity with Aviva Links, and in Edge AI with Kinara. All in all, we believe these decisions have largely been prudent.

Analyst Notes Archive

NXP Earnings: Maintain Fair Value Estimate; Shares Undervalued as Cyclical Headwinds Abate Brian Colello, CPA,Senior Equity Analyst,3 Feb 2026

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NXP Semiconductors reported fourth-quarter revenue of $3.34 billion, up 7% year over year, up 5% sequentially, and above the midpoint of guidance. NXP guided first-quarter revenue to $3.15 billion, ahead of FactSet consensus estimates and up 11% year over year. Why it matters: NXP believes that the cyclical downturn that weighed on revenue in 2025 is over, while hinting at a return to strong growth in 2026. Management reiterated its medium-term model, which called for a 6%-10% revenue CAGR from 2024 to 2027 despite a 3% revenue decline in 2025. We believe that secular growth drivers in NXP's largest segment, automotive, remain intact, as the company's parts used in radar, battery management systems, and software-defined vehicles should see strong adoption even if auto sales are flattish this year, as management expects. The bottom line: We maintain our $280 fair value estimate for wide-moat NXP. Shares sold off as much as 8% on the earnings report Feb. 3, but we think the reaction is too punitive. We still consider NXP to be one of our top ideas in semis and think the firm's automotive franchise is underappreciated. Perhaps the flaw within the earnings report was a slight adjusted gross margin miss in the fourth quarter (57.4% versus 57.5% guidance) due to a product mix shift toward higher sales of lower-margin semis used in mobile devices. We also suspect that investors were seeking an even greater snapback in revenue. NXP might also be punished for having relatively lower artificial intelligence growth opportunities than peers. Still, we like NXP's position in the core end markets in which it serves. Coming up: While bullish about near-term demand, NXP refrained from providing guidance for 2026 revenue (which is typical for the firm). Still, we model 11% revenue growth for NXP for all of 2026, like the firm's guidance for the first quarter.

NXP Semiconductors Earnings: Shares Undervalued as NXP's Recovery Marches On Brian Colello, CPA,Senior Equity Analyst,28 Oct 2025

NXP Semiconductors reported third-quarter revenue of $3.17 billion, down 2% year over year but up 8% sequentially and above the midpoint of guidance. NXP's fourth-quarter revenue guidance of $3.30 billion at the midpoint was ahead of FactSet consensus estimates. Why it matters: NXP is growing amid a cyclical recovery in the automotive end market. However, management expressed some conservatism, as customers are hesitant to meaningfully replenish chip inventory and are cautious about product sales within a sluggish macroeconomic environment. Automotive revenue was solid, up 6% sequentially and flattish year over year. NXP did not see any rush orders on the upside or cancellations on the downside. Again, however, we're disappointed that NXP does not yet foresee a robust rally in automotive chip orders in the quarters ahead. The bottom line: We maintain our $280 fair value estimate for wide-moat NXP as we balance the strong near-term results with more tepid medium-term assumptions. Shares fell 3% after hours, likely due to the conservative commentary as shares rose 2% after hours with the earnings release. Shares still appear undervalued to us, as investors appear to be either too focused on near-term automotive weakness or discounting NXP's long-term growth potential in automotive. We agree with management that NXP's softness in 2024 and the first half of 2025 was cyclical, not structural, and we anticipate an inevitable recovery as tariffs and the economic picture

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NXP Semiconductors NV NXPI ★★★ 29 Apr 2026 21:19, UTC

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become more certain. We think the trend of higher chip content per car remains intact. Coming up: By end market, sequentially, NXP expects revenue growth of 3% in automotive and 10% in industrial. NXP guided fourth-quarter adjusted gross margin to 57.5%, up 50 basis points sequentially, in line with higher revenue. We still anticipate gross margin expansion toward the middle and higher end of the firm's 57%-63% long-term target with higher revenue and future cost savings.

NXP: Making a Reasonable Move to Divest MEMS Sensors to STMicro; $280 Fair Value Estimate Maintained Brian Colello, CPA,Senior Equity Analyst,25 Jul 2025

STMicroelectronics agreed to acquire the MEMS (Micro-Electro-Mechanical Systems) sensor business of NXP Semiconductors for $950 million. ST disclosed that NXP's MEMS business generated $300 million of revenue in 2024, with gross and operating margins that would be accretive to ST. Why it matters: We like the deal for both sides—ST has MEMS expertise on the consumer side of its business, while NXP views MEMS as a noncore business and can use this cash to offset some of the payments on its recent acquisitions and, perhaps, fund future deals. ST didn't give firm figures but hinted that gross margins in this business exceed ST's long-term target of 44%-46%. The MEMS market is expected to grow at a 4% pace, but ST believes these products will grow at a faster pace. Assuming a 20% operating margin, a $950 million purchase price (assuming technical milestones are hit) represents a price/EBIT multiple of roughly 16 times, which we view as a reasonable acquisition price for ST. The deal is expected to close in the first half of 2026. The bottom line: We maintain our fair value estimates of $280 for wide-moat NXP and $32 for narrow-moat ST. Both firms appear undervalued, but we'd point investors toward NXP, as we prefer its automotive prospects, even with the spinoff. Along these lines, NXP has been relatively aggressive in dealmaking, acquiring TTTech Auto and Aviva Links in automotive products and Kinara in so-called edge-AI devices. Spinning off MEMS should provide NXP with some dry powder for other deals in emerging automotive and industrial applications. ST has been manufacturing these MEMS products for NXP and aspires to innovate in MEMS across all end markets. We also like that ST has the necessary customer relationships to maintain momentum in the auto and industrial sectors.

NXP Earnings: Seeing Structural Auto Growth and Signs of a Cyclical Upturn; Shares Undervalued Brian Colello, CPA,Senior Equity Analyst,22 Jul 2025

NXP Semiconductors reported second-quarter revenue down 6% year over year but up 3% sequentially and above the midpoint of guidance. Third-quarter revenue is forecast to rise 8% sequentially and be modestly above FactSet consensus estimates. Why it matters: We're encouraged that NXP anticipates an uptick in demand, as a variety of metrics are healthier than in recent quarters. NXP acknowledges that tariffs are affecting the long-term plans of its customers, but the direct impact to NXP to date has been immaterial. Automotive revenue was flat year over year and up 3% sequentially, better than management's expectations. Demand in China remains strong, while inventory replenishment is

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boosting chip orders from car makers in the US and Europe. NXP remains bullish on rising chip content in cars, with radar and electronics content rising in electric vehicles today, while robotaxis appear to be a strong medium-term opportunity. The bottom line: We maintain our $280 fair value estimate for wide-moat NXP and continue to view shares as undervalued. We expect NXP to prosper from an upcoming cyclical upturn in semis. Longer term, we're similarly optimistic about NXP's content gains in autos. Shares opened on July 22 down about 4%, even though results and guidance were at least in line with FactSet consensus estimates. We suspect some investors were betting on an even greater snapback in near-term auto sales. Coming up: NXP expects September quarter revenue to be $3.15 billion at the midpoint of guidance, which would be down 3% year over year but up 8% sequentially and ahead of our prior expectations. By end market on a sequential basis, NXP expects automotive revenue to be up about 5%, industrial to be up about 8%, and mobile to be up 25%. NXP's confidence comes from a growing order backlog at distributors, improved direct orders, and more rush orders and customer escalations. We also believe these signals typically point toward a (long-overdue) cyclical upswing.

NXP Earnings: Seeing Green Shoots of a Recovery Amid Tariff Concerns; Shares Undervalued Brian Colello, CPA,Senior Equity Analyst,29 Apr 2025

NXP Semiconductors reported first-quarter revenue down 9% year over year but in line with guidance. Second-quarter revenue should rise 2% sequentially and be modestly above FactSet consensus estimates. The company will also undergo a CEO transition in 2025. Why it matters: Like its peers, NXP is guiding for sequential growth in the June quarter despite tariff risks, although the company provided no hints into revenue trends later this year. Absent tariffs, we think NXP is poised to benefit from inventory replenishment. Automotive revenue fell 7% year over year in the first quarter, slightly below management's expectations, but NXP saw signs of stabilization and some rush orders that suggest that the recent downcycle might be turning around. Industrial and Internet of Things, or IIoT, revenue fell 11% year over year, with weakness in core industrial. Mobile and other revenue both fared better than guidance. The bottom line: We reduce our fair value estimate for wide-moat NXP to $280 per share from $300 as we made modestly lower near-term automotive and industrial revenue projections due to tariffs. Still, we think NXP's long-term auto opportunities are being overly discounted amid tariff uncertainty. We also raise our fair value Uncertainty Rating to High from Medium due to tariff uncertainty. Admittedly, NXP will likely face indirect tariff headwinds from the auto market, but for those investors seeking exposure in the event of a hefty tariff reversal, NXP offers an attractive margin of safety, in our view. Coming up: June revenue should benefit from inventory replenishment while we're encouraged by some of NXP's "green shoots" such as early signs of rush orders and an increase in order backlog. Since these items won't be fulfilled immediately, NXP does not think these are signs of tariff pull-ins. The CEO transition is a bit surprising to us, but incoming CEO and current VP Rafael Sotomayor will have a six-month transition with outgoing CEO Kurt Sievers.

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NXP Semiconductors: Appears Cheap Versus Our $300 Fair Value, but Less So if Stiff Tariffs Remain

Brian Colello, CPA,Senior Equity Analyst,4 Apr 2025

We maintain our $300 per share fair value estimate and wide moat rating for NXP Semiconductors, along with maintaining our ratings across the rest of our US and European analog/mixed-signal chipmaker coverage, amid a host of tariffs levied by the US government, with our greatest concern stemming around the 25% tariffs on the automotive sector.Across our coverage, if the stated tariffs are retained, we can envision scenarios where our fair value estimates may fall 10%-20%. This downside would come if higher automotive production costs lead to higher prices for buyers, lower volumes sold, and, thus, fewer chips deployed in these vehicles.We remain optimistic about the secular trend of rising chip content per car, especially within electric vehicles, but revenue growth from content gains per car might be partially (or fully) offset by volume declines. Similarly, these chipmakers were just starting to come out of a severe inventory correction across the industrial end market and a lesser one in automotive. We are modeling a snapback in demand as these excess inventories are used up, but lower production would stunt the magnitude of the cyclical recovery.Across the carnage of the April 3 selloff, NXP is the cheapest name across our coverage, trading near $172 and a 40%-plus discount to our fair value. In a downside scenario where tariffs remain in place, we can envision a roughly $2 billion decline in revenue in the later years of our five-year forecast period (say, down to $16 billion in fiscal 2029) since NXP has over 50% exposure to autos. Still, this scenario would bring our fair value to the $260 range. To justify a $172 stock price, we would need to model a severe headwind to automotive demand, coupled with virtually no growth elsewhere. This contrasts with NXP's medium-term target of 8% growth, which we view as slightly ahead of an otherwise-normal industry growth rate.

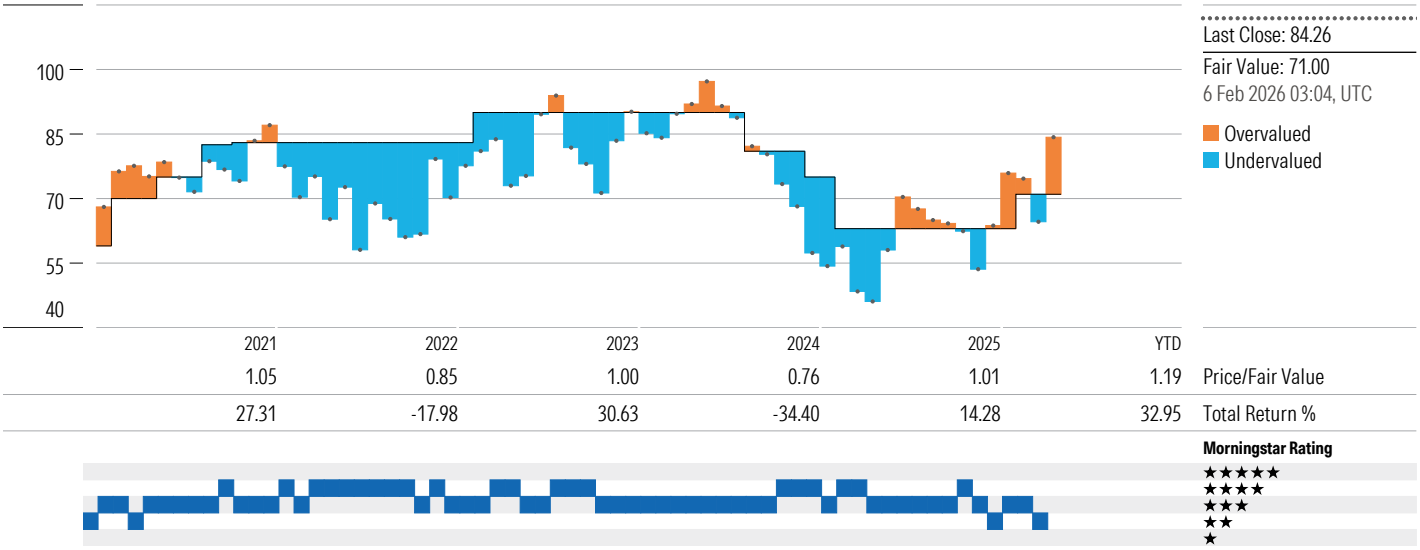
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Competitors Price vs. Fair Value

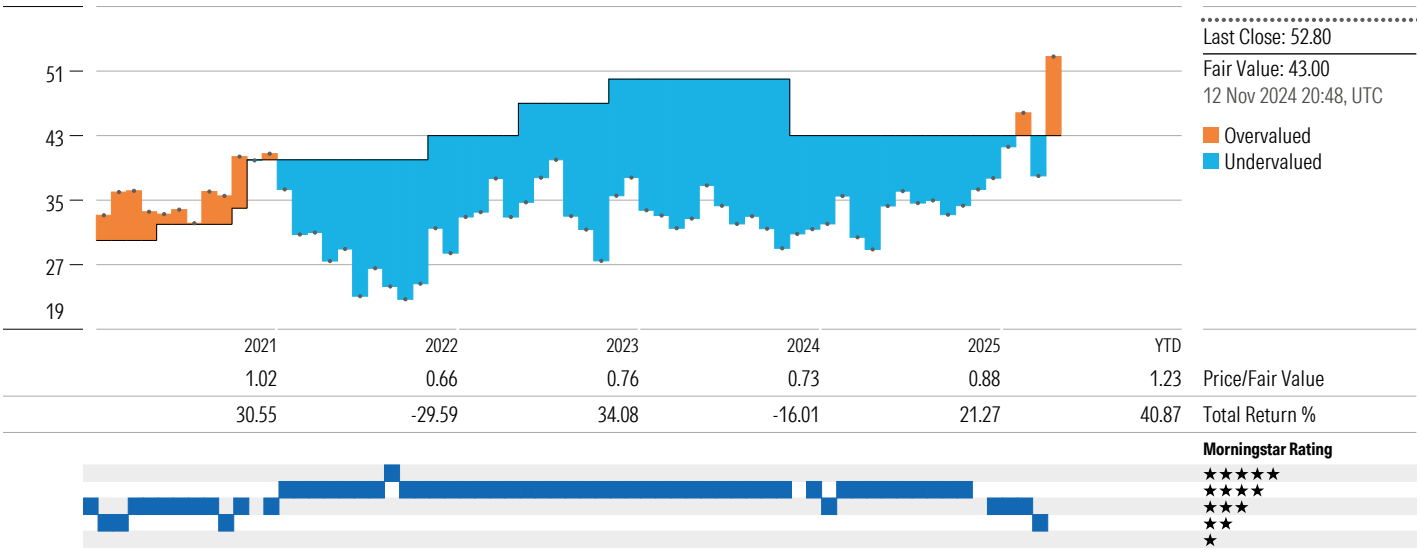
Microchip Technology Inc MCHP



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.05	0.85	1.00	0.76	1.01	1.19
Total Return %	27.31	-17.98	30.63	-34.40	14.28	32.95

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 6 Feb 2026 03:04, UTC.

Infineon Technologies AG IFX



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.02	0.66	0.76	0.73	0.88	1.23
Total Return %	30.55	-29.59	34.08	-16.01	21.27	40.87

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 12 Nov 2024 20:48, UTC.

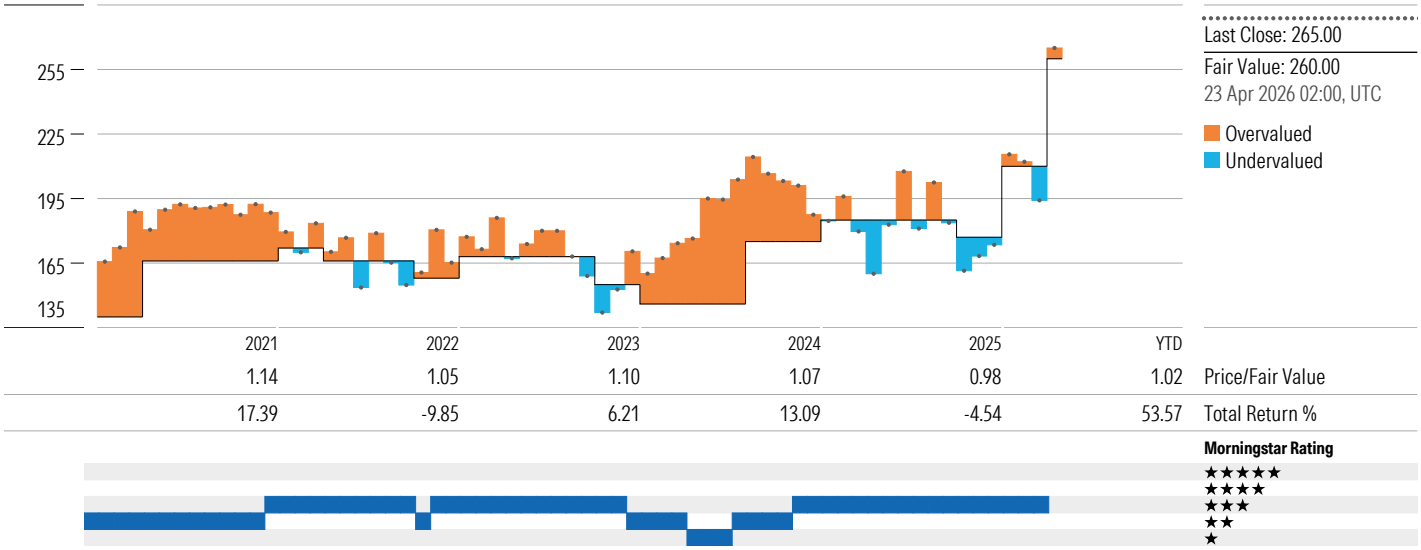
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Competitors Price vs. Fair Value

Texas Instruments Inc TXN



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.14	1.05	1.10	1.07	0.98	1.02
Total Return %	17.39	-9.85	6.21	13.09	-4.54	53.57

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 23 Apr 2026 02:00, UTC.

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Morningstar Valuation Model Summary

Financials as of 28 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	13,276	12,614	12,269	14,070	15,693	16,892	18,170	19,550
Operating Income (USD Mil)	3,676	3,472	3,035	4,300	5,424	6,111	6,872	7,734
EBITDA (USD Mil)	4,767	4,342	3,879	5,654	6,163	6,898	7,714	8,635
Adjusted EBITDA (USD Mil)	4,767	4,342	3,879	5,654	6,163	6,898	7,714	8,635
Net Income (USD Mil)	2,797	2,510	2,021	3,556	3,840	4,468	5,069	5,750
Adjusted Net Income (USD Mil)	3,661	3,376	3,004	3,887	4,900	5,400	6,062	6,811
Free Cash Flow To The Firm (USD Mil)	1,551	2,064	1,137	5,009	4,284	4,597	5,182	5,842
Weighted Average Diluted Shares Outstanding (Mil)	261	258	254	252	245	237	229	221
Earnings Per Share (Diluted) (USD)	10.70	9.73	7.95	14.11	15.70	18.89	22.19	26.08
Adjusted Earnings Per Share (Diluted) (USD)	14.01	13.09	11.81	15.42	20.04	22.83	26.53	30.89
Dividends Per Share (USD)	4.06	4.06	4.06	4.26	4.46	4.66	4.86	5.06

Margins & Returns as of 28 Apr 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	26.5	27.7	27.5	24.7	30.6	34.6	36.2	37.8	39.6	36.6
EBITDA Margin %	—	35.9	34.4	31.6	40.2	39.3	40.8	42.4	44.2	—
Adjusted EBITDA Margin %	—	35.9	34.4	31.6	40.2	39.3	40.8	42.4	44.2	41.4
Net Margin %	19.2	21.1	19.9	16.5	25.3	24.5	26.5	27.9	29.4	26.7
Adjusted Net Margin %	26.3	27.6	26.8	24.5	27.6	31.2	32.0	33.4	34.8	31.8
Free Cash Flow To The Firm Margin %	12.4	11.7	16.4	9.3	35.6	27.3	27.2	28.5	29.9	29.7

Growth & Ratios as of 28 Apr 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	-2.4	0.5	-5.0	-2.7	14.7	11.5	7.6	7.6	7.6	9.8
Operating Income Growth %	-7.2	-3.1	-5.6	-12.6	41.7	26.1	12.7	12.5	12.6	20.6
EBITDA Growth %	-8.4	-5.6	-8.9	-10.7	45.8	9.0	11.9	11.8	12.0	18.1
Adjusted EBITDA Growth %	-8.4	-5.6	-8.9	-10.7	45.8	9.0	11.9	11.8	12.0	17.4
Earnings Per Share Growth %	-9.0	1.4	-9.0	-18.4	77.6	11.3	20.3	17.4	17.5	26.8
Adjusted Earnings Per Share Growth %	-9.0	-2.7	-6.5	-9.8	30.6	29.9	13.9	16.2	16.4	26.8

Valuation as of 28 Apr 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	16.4	15.9	18.4	18.8	14.4	12.7	10.9	9.4
Price/Sales	4.5	4.2	4.5	5.2	4.7	4.3	4.0	3.7
Price/Book	6.9	5.8	5.5	7.1	6.6	5.8	4.9	4.0
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	14.0	13.8	16.4	14.4	13.2	11.8	10.5	9.4
EV/EBIT	18.1	17.3	20.9	18.9	15.0	13.3	11.8	10.5
Dividend Yield %	1.8	2.0	1.9	1.5	1.5	1.6	1.7	1.8
Dividend Payout %	29.0	31.0	34.3	27.6	22.2	20.4	18.3	16.4
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 28 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	11.5	10.3	7.6	12.8	13.2	14.6	15.3	16.1
ROE %	31.2	26.3	19.3	33.4	34.6	36.8	36.7	35.6
ROIC %	14.6	12.6	10.1	13.0	15.5	16.8	18.1	19.3

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Financial Leverage (Reporting Currency)

	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	15.9	17.0	18.3	13.1	13.2	12.7	12.7	12.3
Assets/Equity	2.7	2.6	2.5	2.6	2.6	2.5	2.4	2.2
Net Debt/EBITDA	1.5	1.8	2.4	1.9	1.7	1.5	1.2	0.8
Total Debt/EBITDA	2.3	2.5	3.2	2.2	2.1	1.9	1.8	1.6
EBITDA/ Net Interest Expense	15.4	13.7	10.1	14.2	15.4	17.3	19.3	21.6

Forecast Revisions as of 28 Apr 2026

	2026		2027		2028	
Prior data as of 3 Feb 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	310.00	280.00	—	—	—	—
Revenue (USD Mil)	14,070	13,583	15,693	15,045	16,892	15,976
Operating Income (USD Mil)	4,300	3,987	5,424	4,929	6,111	5,419
EBITDA (USD Mil)	5,654	5,293	6,163	5,639	6,898	6,167
Net Income (USD Mil)	3,887	3,597	4,900	4,353	5,400	4,633
Earnings Per Share (Diluted) (USD)	14.11	12.81	15.70	14.20	18.89	16.11
Adjusted Earnings Per Share (Diluted) (USD)	15.42	14.33	20.04	17.90	22.83	19.71
Dividends Per Share (USD)	4.26	4.26	4.46	4.46	4.66	4.66

Key Valuation Drivers as of 28 Apr 2026

Cost of Equity %	9.2
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	8.5
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	6.0
Stage II Investment Rate %	40.2
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 28 Apr 2026

	USD Mil
Present Value Stage I	17,198
Present Value Stage II	30,595
Present Value Stage III	36,199
Total Firm Value	**83,992**
Cash and Equivalents	3,267
Debt	12,222
Other Adjustments	0
Equity Value	**75,037**
Projected Diluted Shares	248
Fair Value per Share (USD)	**310.00**

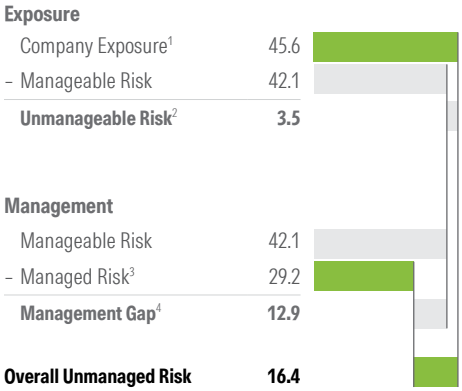
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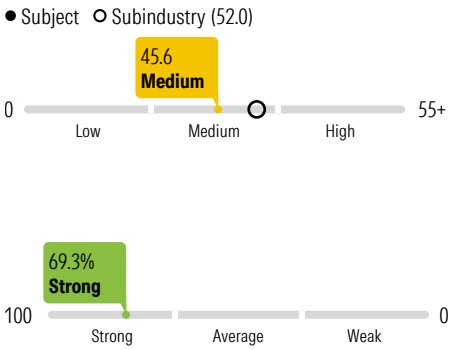
MORNINGSTAR®

NXP Semiconductors NV NXPI ★★★ 29 Apr 2026 21:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
230.39 USD 28 Apr 2026	310.00 USD 29 Apr 2026 02:40, UTC	0.74	73.05 USD Bil 29 Apr 2026	Wide	Large Blend	High	Standard	 22 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 69.3% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 22, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 22 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
NXP Semiconductors NV	45.6 | Medium	0	55+	69.3 | Strong	100	0	16.4 | Low	0	40+
Microchip Technology Inc	45.0 | Medium	0	55+	52.2 | Strong	100	0	23.3 | Medium	0	40+
Infineon Technologies AG	49.8 | Medium	0	55+	67.5 | Strong	100	0	18.9 | Low	0	40+
STMicroelectronics NV	47.0 | Medium	0	55+	73.4 | Strong	100	0	15.2 | Low	0	40+
Texas Instruments Inc	46.6 | Medium	0	55+	57.5 | Strong	100	0	21.8 | Medium	0	40+

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Appendix

Historical Morningstar Rating

NXP Semiconductors NV NXPI 29 Apr 2026 02:45, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Microchip Technology Inc MCHP 29 Apr 2026 00:04, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Infineon Technologies AG IFX 29 Apr 2026 01:05, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★

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Texas Instruments Inc TXN 29 Apr 2026 00:11, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

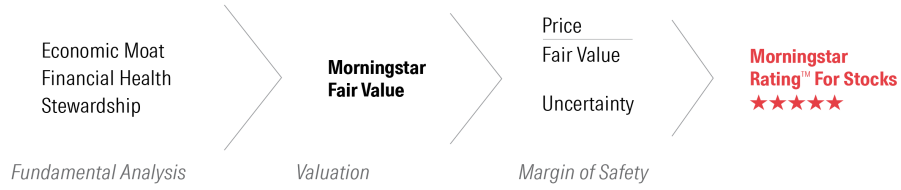
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

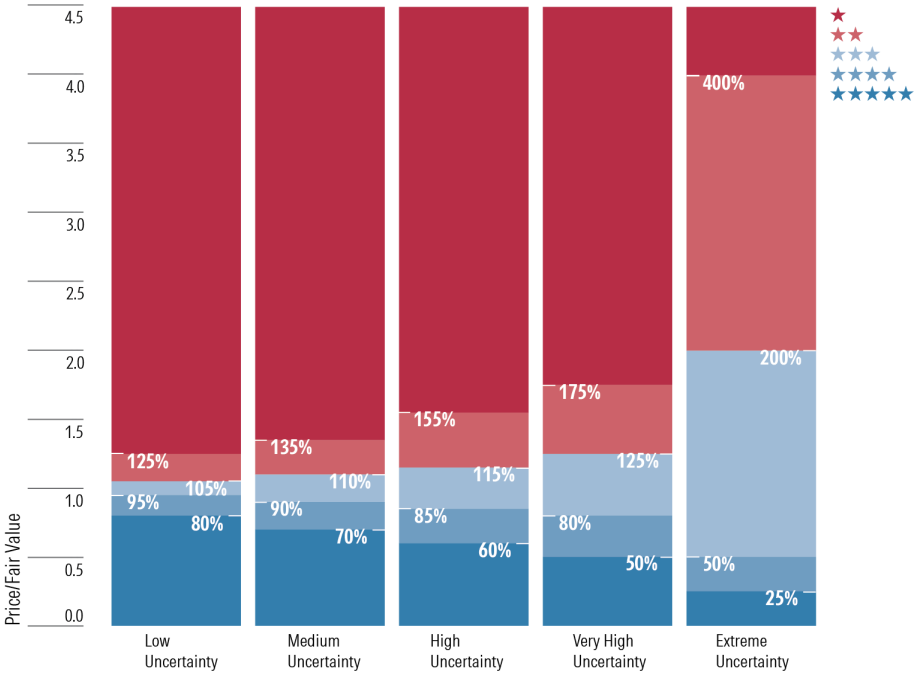
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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